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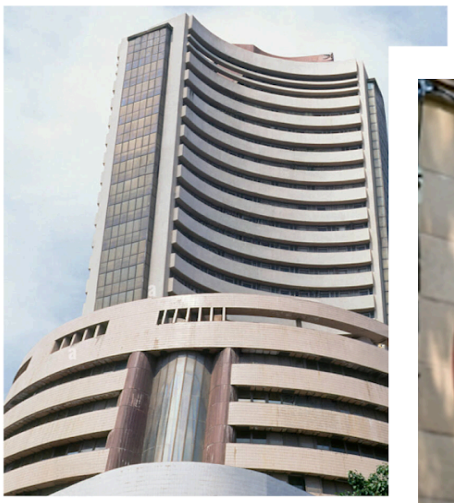
General Knowledge

Indian Economy

STUDY NOTES

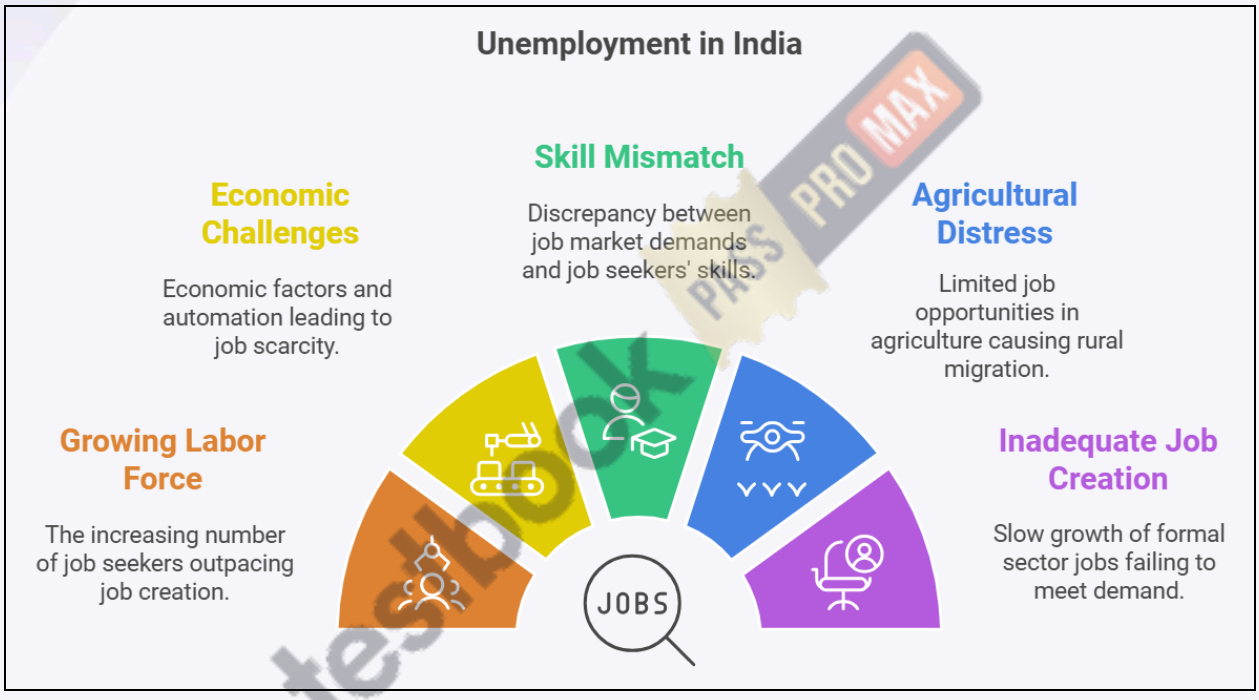
Unemployment in India



Unemployment in India

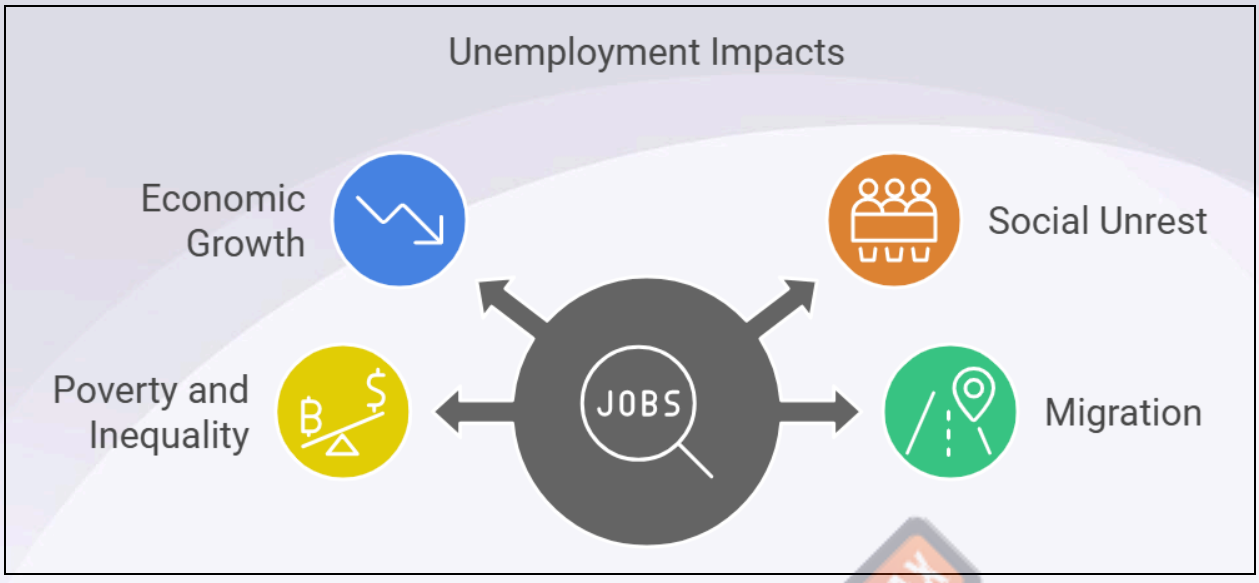
Unemployment in India is a critical socio-economic issue that has far-reaching implications for both the country's economy and its social fabric. It refers to the situation where individuals who are capable and willing to work are unable to find suitable employment. Despite India being one of the **fastest-growing economies** in the world, **unemployment remains a persistent challenge** due to several factors.

Factors Contributing to Unemployment



Impact on Society and Economy

- **Economic Growth:** Unemployment hinders economic growth by reducing the productive workforce. When people are not employed, they are unable to contribute effectively to the economy, leading to lower consumption and reduced demand for goods and services.
- **Social Unrest:** High unemployment, especially among the youth, can lead to dissatisfaction, frustration, and an increase in social unrest. It can fuel political instability and contribute to the rise of anti-government sentiments, social movements, or extremist ideologies.

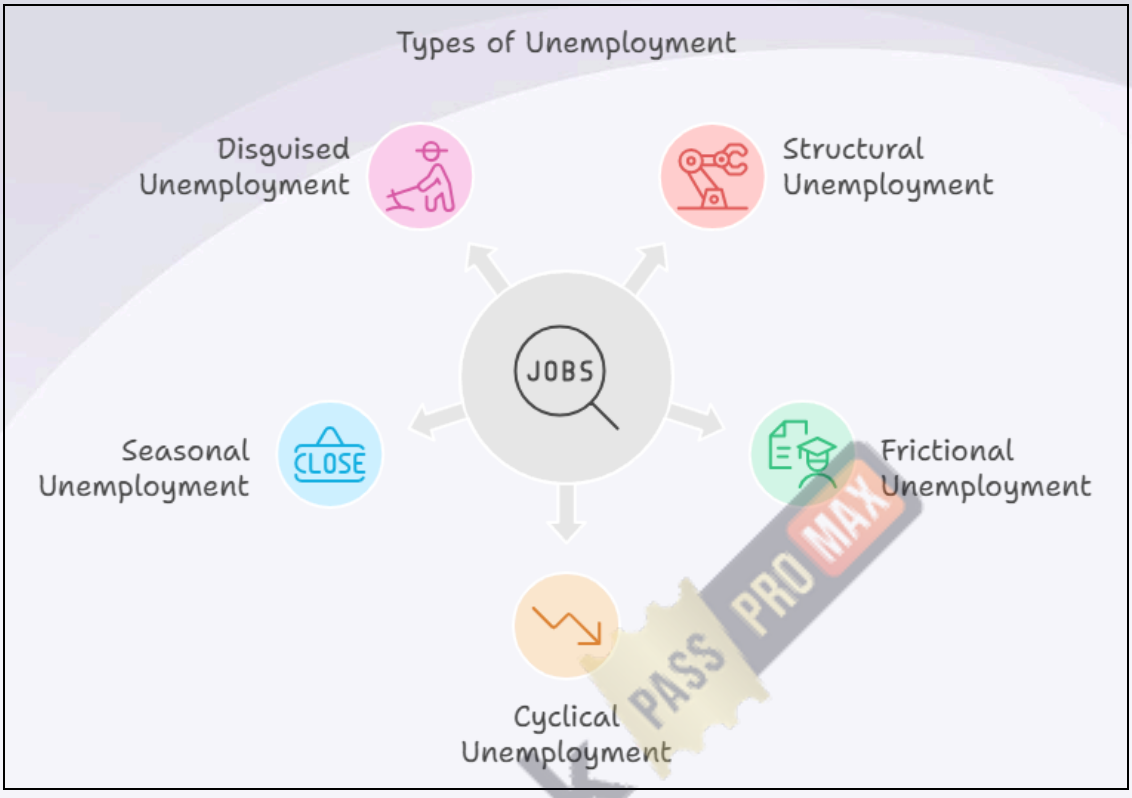


- **Poverty and Inequality:** Unemployment is closely linked to poverty. People who are unable to find work are more likely to fall into poverty, leading to a cycle of economic disparity. It also exacerbates income inequality, which affects social cohesion and economic stability.
- **Migration:** Unemployment often leads to rural-to-urban migration, as people move in search of better job opportunities. This puts additional pressure on cities, leading to overcrowding, inadequate infrastructure, and the growth of slums.

Significance of Unemployment in India

Unemployment is significant in India due to its direct impact on the economy and society. High unemployment rates can lead to increased poverty, inequality, and social unrest, while also reducing the overall productive capacity of the country. Addressing unemployment is crucial for ensuring sustainable economic growth, social stability, and the well-being of the population.

Types of Unemployment



Structural Unemployment

- Structural unemployment occurs when there is a mismatch between the skills of the workforce and the jobs available. This is typically caused by changes in the industry structure or advancements in technology. For instance, as industries evolve, certain sectors may shrink or disappear while others grow. Technological innovations, like automation, may also replace certain types of jobs, leading to unemployment in those fields. Workers who once performed tasks in industries such as manufacturing or manual labour may find themselves without jobs because their skills are no longer in demand.
- **Example:** The rise of automation in car manufacturing has led to job losses in traditional assembly line work, as machines now perform tasks that were once done by humans.

Frictional Unemployment

- Frictional unemployment refers to the short-term unemployment that happens when individuals transition between jobs or enter the workforce for the first time. This type of

unemployment is often seen as voluntary and temporary as people search for the right job or better opportunities. It's generally considered healthy for an economy, as it reflects labour market flexibility.

- **Example:** A software engineer leaving one company to find a better position or a recent graduate looking for their first job.

Cyclical Unemployment

- Cyclical unemployment is linked to the business cycle, particularly economic downturns or recessions. During periods of economic contraction, demand for goods and services falls, leading businesses to cut back on production and lay off workers. As a result, more people become unemployed, and this type of unemployment tends to rise during economic recessions and decrease during periods of growth.
- **Example:** During the 2008 financial crisis, many workers in industries such as construction, retail, and finance lost their jobs as companies downsized in response to the economic slowdown.

Seasonal Unemployment

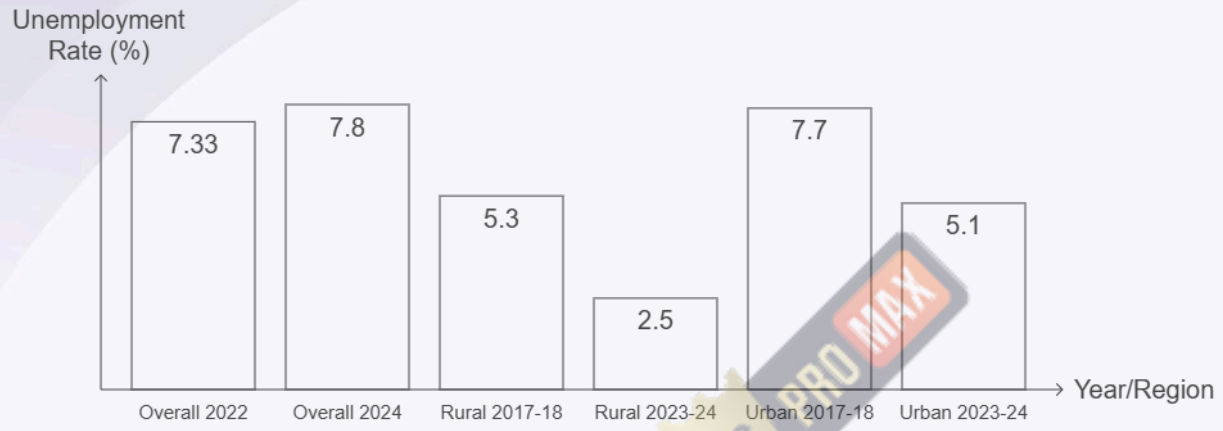
- Seasonal unemployment occurs in industries that depend on specific seasons or periods of the year for their operations. During off-seasons, businesses may temporarily reduce or eliminate the number of employees. This type of unemployment is common in industries such as agriculture, tourism, and retail, where demand fluctuates based on the time of year.
- **Example:** Agricultural workers employed during the harvest season may be laid off once the season is over, or holiday retailers may reduce staff after the Christmas shopping season ends.

Disguised Unemployment

- Disguised unemployment refers to a situation where more people are employed than needed, often occurring in sectors like agriculture. This happens when workers are employed at less than their full potential, and their productivity is very low. Although these workers are technically employed, they do not contribute effectively to the economy, which masks the true level of unemployment.

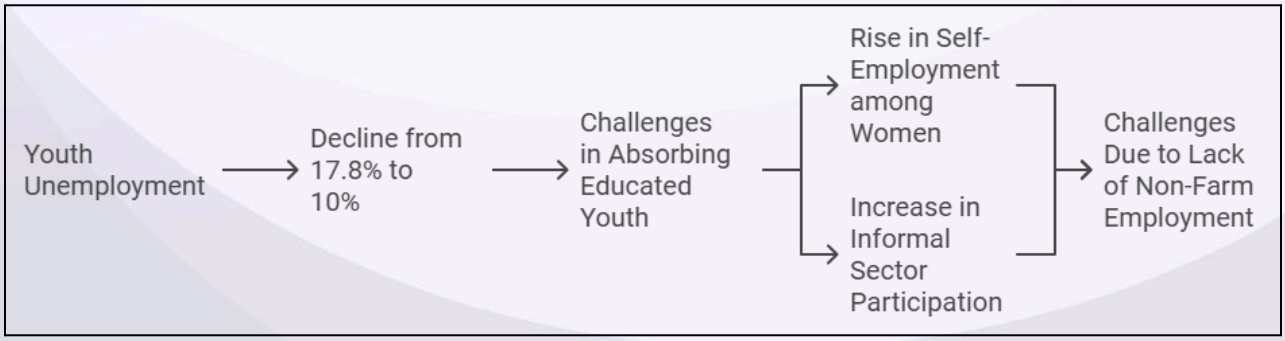
- **Example:** In rural farming communities, additional family members may be involved in farming despite having very little work to do, which results in underemployment or disguised unemployment.

Current Unemployment Situation in India



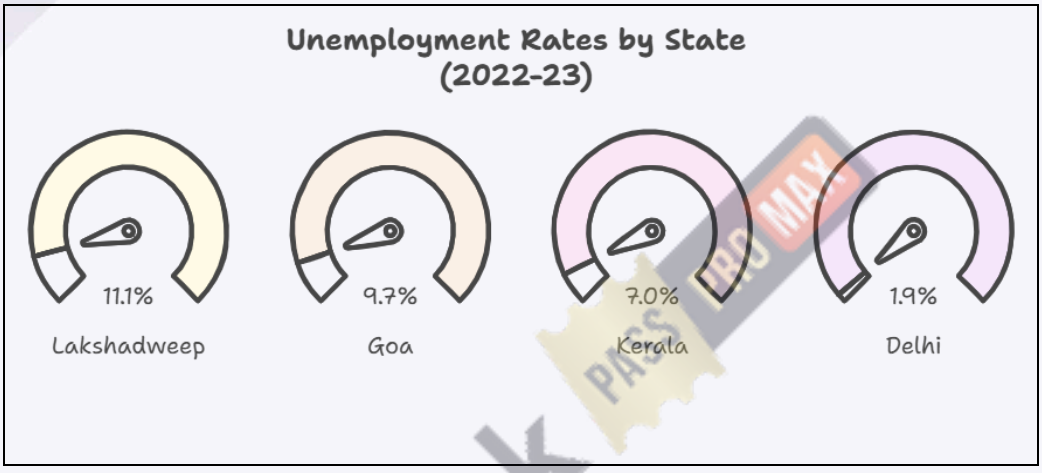
Unemployment Rate Trends in India (2017-2024)

- **Unemployment Rate Trends**: India's overall unemployment rate has seen fluctuations over the past decade. As of September 2024, the unemployment rate was 7.8%, up from 7.33% in 2022
- However, the rate had shown improvement in rural areas, where it fell from 5.3% in 2017-18 to 2.5% in 2023-24, whereas urban unemployment decreased from 7.7% to 5.1% over the same period
- The COVID-19 pandemic has caused significant job losses, but employment conditions have gradually recovered, particularly with the rise in formal sector jobs, evidenced by a sharp increase in EPFO payroll enrollments



Youth Unemployment: Youth unemployment remains a critical challenge, with young people aged 15-29 years being disproportionately affected. Despite a decline in the youth unemployment rate from 17.8% in 2017-18 to 10% in 2022-23, the job market still struggles to absorb educated youth, especially those with secondary or higher education

The rise in self-employment among women and an increasing number of young people entering the informal sector have been notable, but challenges persist due to the lack of adequate non-farm employment



Regional Disparities: Unemployment rates differ significantly across states. For example, some of the highest unemployment rates are found in states like Lakshadweep (11.1%), Goa (9.7%), and Kerala (7%). In contrast, states such as Delhi, Gujarat, and Assam have some of the lowest rates, with Delhi recording just 1.9% unemployment in 2022-23. These disparities highlight the need for targeted regional policies to address the unique challenges faced by different states, especially in rural vs urban settings.

Causes of Unemployment in India

Population Growth

- **Rapid Increase in Job Seekers**: India's population has been growing rapidly, adding a significant number of individuals to the labour force every year. This growth creates a constant demand for new job opportunities that the current economy often struggles to meet.
- **Pressure on Limited Resources**: The high population also puts pressure on available

resources, reducing the ability of the economy to create jobs at a pace that matches population growth. This leads to a larger pool of unemployed individuals.

Education and Skill Gaps

- **Mismatch Between Education and Job Market Needs**: India's educational system often focuses more on theoretical knowledge rather than practical skills, resulting in a workforce that may not be prepared for the demands of specific job roles.
- **Outdated Curriculum and Lack of Vocational Training**: Many educational institutions still use outdated curriculums that don't align with the modern job market's needs. This gap leaves graduates without essential skills, leading to underemployment or difficulty in securing jobs.
- **Lack of Industry-Academia Collaboration**: There is minimal collaboration between educational institutions and industries, which exacerbates the mismatch. More partnerships could help in aligning course content with market needs and producing job-ready candidates.

Economic Factors

- **Economic Slowdowns**: Periods of economic slowdown reduce demand for products and services, causing businesses to hold back on hiring or even downsize their workforce. This can lead to cyclical unemployment.
- **Inflation and Rising Costs**: High inflation can raise the cost of production, making it more expensive for companies to maintain their workforce, which often results in layoffs and hiring freezes.
- **Industrial Stagnation**: Inadequate industrial growth and sectoral shifts in the economy can cause stagnation in traditional sectors, limiting employment opportunities in certain industries.

Technological Advancements

- **Impact of Automation**: The adoption of automation, artificial intelligence, and robotics in various industries has led to reduced demand for manual labour. As machines take over repetitive tasks, many jobs are replaced by technology.
- **Skills Gap due to Technology**: As technology evolves, it creates demand for specialized skills that the existing workforce might lack. The absence of reskilling programs limits

opportunities for workers to adapt, resulting in structural unemployment.

- **Digital Divide**: Technological advancements also create a divide between those with access to digital skills and those without, leading to unequal employment opportunities.

Government Initiatives to Combat Unemployment

Initiative	Launch Date	Ministry	Key Features
Mahatma Gandhi National Rural Employment Guarantee Act (MGNREGA)	February 2, 2006	Ministry of Rural Development	Provides 100 days of wage employment, focuses on rural infrastructure and manual work for unskilled labour.
Pradhan Mantri Kaushal Vikas Yojana (PMKVY)	July 15, 2015	Ministry of Skill Development and Entrepreneurship	Offers skill-based training, and certification for youth, and focuses on industry-specific skills.
National Apprenticeship Promotion Scheme (NAPS)	August 19, 2016	Ministry of Skill Development and Entrepreneurship	Provides financial incentives to companies for hiring apprentices, and focuses on industry-relevant skill development.
Startup India	January 16, 2016	Ministry of Commerce and Industry	Encourages entrepreneurship, provides tax benefits, and simplifies regulatory frameworks for startups.
Make in India	September 25, 2014	Ministry of Commerce and Industry	Promotes local manufacturing, attracts foreign investments, and focuses on sectors like electronics and textiles.
Atmanirbhar Bharat (Self-Reliant India)	May 12, 2020	Multiple Ministries	Encourages local manufacturing, supports MSMEs, and promotes the “Vocal for Local” initiative.

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Digital India	July 1, 2015	Ministry of Electronics and IT	Enhances digital infrastructure, promotes e-governance, and bridges the digital divide.
Skill India Mission	July 15, 2015	Ministry of Skill Development and Entrepreneurship	Aims to create a skilled workforce through vocational training and certification programs.
Stand-Up India Scheme	April 5, 2016	Ministry of Finance	Provides financial assistance to women and marginalized groups to start businesses.
Deen Dayal Upadhyaya Grameen Kaushalya Yojana (DDU-GKY)	September 25, 2014	Ministry of Rural Development	Offers skill development and placement opportunities for rural youth.
National Urban Livelihoods Mission (NULM)	September 24, 2013	Ministry of Housing and Urban Affairs	Focuses on urban poverty alleviation through skill development and self-employment initiatives.
Pradhan Mantri Employment Generation Programme (PMEGP)	2008	Ministry of Micro, Small & Medium Enterprises	Encourages self-employment through financial support to micro-enterprises.
Rural Self Employment Training Institutes (RSETIs)	2009	Ministry of Rural Development	Provides free, short-term residential training programs for rural youth.
E-Shram Portal	August 26, 2021	Ministry of Labour and Employment	Creates a database for unorganized workers, and provides social security and employment opportunities.

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National Career Service (NCS)	July 20, 2015	Ministry of Labour and Employment	Facilitates job matching, offers career counselling, and supports job seekers with training.
Unnat Bharat Abhiyan	2014	Ministry of Education	Links higher education institutions with rural communities to foster economic and social development.